

control over their investments. In fact, the use of these mechanisms can often lead to an overlooked opportunity or, worse, a detrimental, unnecessary purchase based on the occurrence of an arbitrary price.

4. Illusion of control bias contributes, in general, to investor overconfidence. (Please see Chapter 18 for a detailed discussion of related pitfalls and compensation techniques.) In particular, investors who have been successful in business or other professional pursuits believe that they should also be successful in the investment realm. What they find is that they may have had the ability to shape outcomes in their vocation, but investments are a different matter altogether.

RESEARCH REVIEW

This section examines the results of a relatively new paper published in May 2004 by Gerlinde Fellner of the Max Planck Institute for Research into Economic Systems in Jena, Germany. In her work, “Illusion of Control as a Source of Poor Diversification: An Experimental Approach,”⁵ Fellner explored the mechanics of this bias as they apply, specifically, to investing behavior. She hypothesized that the illusion of control bias accounts for systematic capital shifts toward investments (stocks) that offer investors the illusion of control. The paper investigated factors influencing individual portfolio allocations. The fundamental question asked was, “Do individuals invest more in a “lottery” (stocks) for which they can control the chance move?” Her hypothesis proved correct. In her words: “Results indicate that subjects invest more in an alternative when they can exercise control on its return and less in the alternative where they do not. This is especially pronounced when subjects can choose the investment alternative on which to exercise control.”⁶

In summary, Fellner’s research showed that investors prefer to make investments in which they believe they can control the outcome. Many practitioners know that investors have no control over the outcome of investments they make, only the decision to invest or not to invest (in rare cases, one individual may have influence over the outcome, but this is the exception, not the rule). Thus, practitioners need to be fully cognizant of this tendency to want to make “controlled” investments and dissuade investors of the notion that they have control over investment outcomes.